OTC market maker's published bid or offer because customer limit orders of meaningful size should be displayed. The Commission believes this will further the objective of Rule 604: ensuring that customers have the ability to effectively seek price improvement through the dissemination of their limit orders by specialists or OTC market makers.[315] Moreover, the concerns raised regarding Rule 604 complexities that would arise as a result of the proposed five-tier round lot definition and the proposed amendments to the definition of protected quotation are diminished significantly since the Commission is adopting a four-tiered definition of round lot with a higher notional value size and is not adopting the proposed amendments to the definition of protected quotation.[316]

Rule 605 Comments: Many commenters discussed the effects of the definition of round lot on the execution quality statistics under Rule 605. One commenter argued that "Rule 605 reports would no longer … provid[e] uniform comparisons because the NBBO that each market center will use will be different," and some suggested changes to Rule 605 in response.[317] Another commenter argued that the monthly round lot calculation could create investor

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315 See Proposing Release, 85 FR at 16744.

316 See supra Section II.D; infra Section II.E.

317 STANY Letter II at 4, 6. See also Nasdaq Letter IV at 19–20 (stating that the proposed definition of round lot will render Rule 605 execution quality statistics less accurate, that statistics on price improvement for higher-priced stocks may show a reduction in the number of shares of marketable orders that received price improvement because price improvement would be measured against a narrower NBBO, that an increase in the frequency or length of crossed markets resulting from the proposed definitions of round lot and protected quote could cause more orders to be excluded from Rule 605 execution quality statistics, rendering those statistics less accurate, and that the creation of multiple NBBOs would undermine the comparability of Rule 605 statistics across different market centers).

confusion if a stock is near a different tier threshold regarding whether "the execution information about such stocks needs to be added to Rule 605 reports," leading "investors to be misled by execution quality statistics."[318] However, other commenters suggested the proposal would improve the accuracy of Rule 605 reports.[319]

Some commenters argued for "moderniz[ing]" Rule 605.[320] One suggested "(a) creating a 'marketable benchmark' statistic that reflects the size of the quote at the NBBO, (b) adding notional buckets as an additional method of categorization, and (c) incorporating all customer orders regardless of size."[321] Another commenter provided an example of how the exclusion of odd-lot quotes from the SIP feeds can skew Rule 605 price improvement statistics.[322] Additionally, a different commenter suggested measuring Rule 605 price improvement statistics using an "Effective Best Bid or Offer" calculated using the average fill price of an order at a given time.[323]

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318 Nasdaq Letter IV at 17.

319 ICI Letter at 6–7. See also T. Rowe Price Letter at 2 (stating that one objective of the Commission's rulemaking was to improve the accuracy of Rule 605 reports).

320 See, e.g., Virtu Letter at 4 ("many of the Rule 605 execution quality share buckets now bear little relation to the average trade sizes sent by the majority of investors. … [F]or stocks with prices over $50, about 70% of trades are odd-lot orders which would not be captured by the current Rule 605. … [A] significant overhaul of Rule 605 would be necessary, including possibly expanding measurement of execution quality to include depth of book").

321 Citadel Letter at 4.

322 Healthy Markets Letter I at 1.

323 See Angel Letter at 16.

The Commission continues to believe that the order execution disclosures required under Rule 605 should be based on an NBBO that reflects orders in the new round lot sizes.[324] The definition of round lot will allow additional orders of meaningful size to determine the NBBO, and, therefore, the execution quality and price improvement statistics required under Rule 605 would be based upon an NBBO that the Commission believes is a more meaningful benchmark for these statistics.[325] As explained below, the Commission does not believe that the amendments to the definition of NBBO to accommodate the decentralized consolidation model or the notion of "multiple NBBOs," which already exist today, will confuse market participants.[326] Similarly, the Commission does not believe the accuracy or comparability of Rule 605 statistics will be impaired. On the contrary, the Commission believes that an NBBO that incorporates orders that often reflect superior pricing by comparison to today's round lot orders[327] will provide market participants with more accurate information about the true quality of the executions they are receiving, even if this information may show a reduction in the number of shares that received price improvement.[328] Finally, while the Commission has reviewed the comments about the need to modernize and update Rule 605, any changes to Rule

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324 See Proposing Release, 85 FR at 16745.

325 See id.

326 See infra Section III.B.10(b).

327 See supra note 241 and accompanying text.

328 Additionally, because the Commission is adopting modified definitions of round lot and protected quotation, one commenter's concern is no longer applicable—specifically, that an increase in the frequency or length of crossed markets as a result of the proposed definitions of round lot and protected quotation could cause more orders to be excluded from Rule 605 execution quality statistics. See Nasdaq Letter IV at 19–20.

605—as opposed to the more limited impact on Rule 605 as a result of the Commission's adoption of the definition of round lot—are beyond the scope of the present rulemaking.

Rule 610 Comments: Commenters discussed the effects of the definition of round lot on 17 CFR 242.610(c) (Rule 610(c)) and 610(d). One commenter stated that, with the definition of round lot affecting Rule 610(c), the Commission did "not consider the harm that an expanded fee limitation would have on competition, or the burdens it would place on market participants, including trading centers that display quotes."[329] The commenter stated that in not expanding order protection to orders in the new round lots, the Commission is eliminating one of the bases it used when it first created the fee limitation in Regulation NMS.[330] On the other hand, another commenter agreed the Commission should change Rule 610(c) to apply to quotations in the proposed round lot sizes because doing so "would further that rule's objectives of ensuring the accuracy of displayed quotations by establishing an outer limit on the cost of accessing them."[331]

Multiple commenters raised concerns that the proposed amendment to the definition of protected quotation would limit the restrictions in Rule 610(d) on locked and crossed markets, allowing round lots smaller than 100 shares to be locked and crossed.[332] Some commenters

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329 NYSE Letter II at 7–8.

330 Id.

331 Data Boiler Letter I at 26.

332 See Clearpool Letter at 13–14; TD Ameritrade Letter at 9 ("Because the proposed round lot sizes would allow stepping ahead by economically insignificant amounts, locked and crossed markets may not simply be arbitraged away. At times liquidity-takers may perceive a sophisticated trader has locked or crossed the market for an economically insignificant amount and be reluctant to interact with them. This may lead to occasions of sustained locked and crossed markets, similar to what was observed prior to Reg. NMS Rule 610's prohibition on locked and crossed markets."); ICI Letter at 7, n.24 (expressing "concern" about this approach); BlackRock Letter at 4 ("This would directly contravene

recommended "the locking and crossing requirements … be extended to orders reflected in the NBBO."[333] Another commenter stated that the Commission did not "justify why it is proposing to expand the fee limitation applicable to SROs' best bids and offers under Rule 610(c), but not proposing to expand the limits in Rule 610(d) on SRO members locking and crossing protected quotations."[334] Furthermore, one commenter argued that the Rule 610(d) effects "could add significant complexity to broker-dealers' best execution analyses and could create confusion and uncertainty regarding the quotations that a broker-dealer should rely upon to provide best execution for its customers."[335]

The Commission continues to believe that applying the fee limitations of Rule 610(c) to orders of meaningful size, as reflected in the proposed definition of round lot, would further the rule's objectives of ensuring the accuracy of displayed quotations by establishing an outer limit

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the intent of employing the round lot definition as a mechanism for expanding odd-lot coverage, as the application of other provisions, such as order protection, to round lot orders was a key consideration of this approach. Further, this policy perpetuates an archaic double standard for odd-lot quotations which seem incongruous to the acknowledged economic significance and prevalence of odd-lot activity in the market.") (footnotes removed); SIFMA Letter at 1–2 (arguing the Commission should make any changes to Rule 610(d) of Regulation NMS in a separate proposal after "further industry dialogue and consideration"); Nasdaq Letter IV at 18 ("Many of the same concerns that Nasdaq has with respect to the Commission's round lot and trade-through protection proposals also apply to the Commission's proposal to allow orders to lock or cross unprotected round lot displayed quotes of less than 100 shares.").

333 Clearpool Letter at 13–14; BlackRock Letter at 5.

334 NYSE Letter II at 8. See also Nasdaq Letter IV at 19 ("[E]ven if the Commission is correct that protection against locked and crossed markets is no longer warranted, the Commission fails to explain why it is reasonable, and not arbitrary, for it to roll back Rule 610(d) only for quotes of under 100 shares, rather than for all quotes in NMS stocks.").

335 FINRA Letter at 7.

on the cost of accessing them and would help ensure that the rule applies consistently to orders of meaningful size.[336] Further, the Commission does not believe that an expanded fee limitation would harm competition or unduly burden market participants, as one commenter stated.[337] The national securities exchanges do not distinguish between protected or best quotations and other quotations for purposes of their transaction fees,[338] so the extension of the requirements of Rule 610(c) to orders in the new round lot sizes will not affect an area of exchange pricing that has been subject to competition or differentiation among exchanges. In addition, as a result of the amended definition of round lot, a relatively small number of NMS stocks will have their round lot size change,[339] so the impact on exchanges and other trading centers and market participants should be small.[340]

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336 The concern expressed by one commenter suggesting that the Commission is eliminating one of the bases for the fee limitation in Rule 610(c) of Regulation NMS is no longer applicable in light of the Commission's decision not to adopt the proposed amendments to the definition of protected bid or protected offer. See infra Section II.E. Similarly, the concerns relating to Rule 610(d) of Regulation NMS expressed by several commenters that the proposed amendments to the definition of protected bid or protected offer would allow quotations in the new round lot sizes to be locked or crossed are no longer applicable. Id.

337 See NYSE Letter II at 7–8.

338 See, e.g., Cboe U.S. Equities Fee Schedules, BZX Equities, Transaction Fees; NYSE Price List 2020 (last updated Nov. 2, 2020), available at https://www.nyse.com/publicdocs/nyse/markets/nyse/NYSE_Price_List.pdf; Nasdaq, Price List - Trading Connectivity, available at http://nasdaqtrader.com/Trader.aspx?id=PriceListTrading2 (last accessed Nov. 25, 2020).

339 See infra notes 364 and 365 and accompanying text.

340 See infra Section V.C.1(b)(vii) (stating that the impact of these amendments on 610(c) of Regulation NMS might not result in economic effects).

E. Definition of "Protected Bid or Protected Offer" under Rule 600(b)(70)

1. Proposal

In connection with the proposed round lot definition, the Commission proposed to amend the definition of protected bid or protected offer in 17 CFR 242.700(b)(70) (Rule 600(b)(70)) by requiring automated quotations that are the best bid or offer of a national securities exchange or national securities association to be "of at least 100 shares" in order to qualify as a protected bid or protected offer. The Commission proposed this change to maintain the status quo with regard to protected quotes, which are currently required to be round lots, and to avoid expanding to the proposed smaller round lots the order protection requirements of Rule 611 and the requirements of Rule 610(d) to prevent locked/crossed markets.[341]

Additionally, the Commission proposed that protected quotations would only include odd-lots at a single price (rather than multiple price levels) that, when aggregated, are equal to or greater than 100 shares.[342]

2. Final Rule and Response to Comments

The Commission received multiple comments on the definition of protected bid or protected offer. Many commenters opposed the proposal to amend the definition and argued that round lots, which determine the NBBO, should be protected quotations. These commenters stated that not protecting the round lot NBBO would result in unnecessary complexity, investor

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341 See Proposing Release, 85 FR at 16747–50. Rule 611 of Regulation NMS requires trading centers to have policies and procedures that are reasonably designed to prevent "trade-throughs" on that trading center of protected bids or protected offers in NMS stocks, subject to specified exceptions. Rule 600(b)(94) of Regulation NMS defines "trade-through" as "the purchase or sale of an NMS stock during regular trading hours, either as principal or agent, at a price that is lower than a protected bid or higher than a protected offer." Rule 600(b)(94) of Regulation NMS, 17 CFR 242.600(b)(94).

342 See Proposing Release, 85 FR at 16737.

confusion, more trade-throughs, additional locked and crossed markets, and harm to retail investors. Other commenters also discussed odd-lot aggregation for the purposes of the definition of protected bid or protected offer. Commenters also addressed the effects of withdrawing the protected status of the 12 stocks that currently have round lots smaller than 100 shares. Additional commenters discussed the effects of a different PBBO and NBBO on best execution.

(a) Expanding Protection to New Round Lots

Most commenters that mentioned order protection suggested that the definition of protected quotation should reflect the new round lot NBBO and not be limited to those quotations that are of at least 100 shares.[343] One commenter supported the proposal not to protect the new round lots of less than 100 shares,[344] and two were neutral.[345] In support, one commenter stated that the order protection rule would continue to function similarly to the way it does today and that extending order protection to the new round lots would have significant negative trading implications, such as encouraging the posting of quotes in insignificant sizes, which would cause asset managers to break down large orders to avoid signaling their full trading intent.[346]

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343 See Submitted Comments, Comments on Proposed Rule: Market Data Infrastructure, Commission, available at https://www.sec.gov/comments/s7-03-20/s70320.htm; Nasdaq Letter V at 3 ("Just five commenters supported the Commission's proposed treatment of the Order Protection Rule; 24 others opposed it outright."). See, e.g., Cboe Letter at 8; MIAX Letter at 6; Fidelity Letter at 7; Citadel Letter at 2; BestEx Research Letter at 6–9.

344 See T. Rowe Price Letter at 2.

345 See IEX Letter at 7; Data Boiler Letter I at 21.

346 See T. Rowe Price Letter at 3. In addition, one commenter highlighted that extending order protection to the new round lots would create complexity and confusion:

Complexity and Confusion: Multiple commenters suggested that the amendment to the definition of protected quote would add complexity, including by requiring market participants to monitor an NBBO and a PBBO throughout the trading day.[347] One commenter noted that the "confusion and complexity of a NBBO that deviates from the PBBO outweighs concerns about protecting quotes that otherwise may not be 'meaningful.'"[348] Similarly, another commenter argued that the round lot definition, in combination with the definition of protected bid or protected offer, would create a bifurcated system of displayed orders where better priced displayed orders are not protected against trade-throughs.[349]

Additionally, one commenter suggested that amending the definition of protected quote would de-couple the order protection rule and the duty of best execution, creating confusion where brokers have access to a wide swath of required core data but may, or may not, be obligated to use that data to benefit customers.[350]

"Protecting the new round lots could also significantly alter the behavior of market makers like Virtu, impacting their approach to internalization and affecting their capacity to provide price improvement to retail investors. It could also dramatically alter the flow of orders to the exchanges and other trading venues. And, of course, it would impose unknown, but surely significant, implementation costs on market participants." Virtu Letter at 5.

347 See, e.g., Cboe Letter at 8; MEMX Letter at 4; NYSE Letter II at 6; Nasdaq Letter IV at 13–17; Fidelity Letter at 7; Citadel Letter at 2; FINRA Letter at 6–7; Healthy Markets Letter I at 5.

348 STANY Letter II at 4. See also Schwab Letter II at 2 (stating that protecting only transactions of 100 shares or more "would create [an NBBO] that is distinct from the [PBBO] and would leave broker-dealers with uncertainty over order routing and data display decisions. Schwab believes this would confuse investors.").

349 See Fidelity Letter at 7.

350 See Nasdaq Letter IV at 21.

Locked and Crossed Markets: Some commenters argued that the proposal to limit the definition of protected quotation to orders of 100 shares or more partially rescinds the rule against locked or crossed markets, allowing some orders to lock or cross the market depending on the price of the stock, the size of the order, and the state of the NBBO.[351]

Best Execution:[352] Some commenters argued that a bifurcated approach to protected and unprotected round lots would add complexity regarding best execution obligations, including routing and execution decisions.[353] Others suggested that if the Commission were to adopt the proposed bifurcated approach, the Commission should "promulgate clear guidance" surrounding market participants' best execution obligations.[354] However, one commenter stated that it was "not convinced by criticisms that the Proposal would alter asset managers' best execution obligations as a result of potentially different reference prices (i.e., NBBO vs. PBBO)."[355]

Effects on Retail Investors: Some commenters suggested that limiting protected quotations to those of 100 shares would harm retail orders/investors because displayed retail orders in the new round lot sizes would be traded-through.[356] Furthermore, a commenter argued that the Commission provided no reasonable basis for the proposal to treat round lots differently

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351 See id. at 16.

352 See supra Section I.E.

353 See, e.g., Fidelity Letter at 7; BlackRock Letter at 4; MFA Letter at 10–12.

354 Nasdaq Letter IV at 21. See also SIFMA Letter at 10, 13; FINRA Letter at 7.

355 T. Rowe Price Letter at 2.

356 See Cboe Letter at 6–7; Nasdaq Letter IV at 13–17. See also BlackRock Letter at 4 ("[A] recent academic study has identified that 'trade-throughs of non-protected odd-lot orders are frequent' such that this 'limitation in the National Market System … results in a hidden cost to equity traders.'").